

company. Graham seemed to relish the irony of D&B not revealing “its own earnings to its own stockholders.” (Chap. 3, Note 4) On the whole, by twenty-first-century standards, information in Graham’s time was as slow moving as it was sparse. There were no conference calls, no automated spreadsheets, and no nonstop news from distant markets—indeed, not much truck with the world outside the 48 states. *Security Analysis* barely acknowledges the existence of foreign markets.

Such an institutional setting was hardly conducive to the development of “efficient markets,” as today’s economists style them—markets in which information is disseminated rapidly, human beings process it flawlessly, and prices incorporate it instantaneously. Graham, I think, would have scoffed at such an idea. Equally, he would have smiled at the discovery—so late in the evolution of the human species—that there was a place in economics for a subdiscipline called “behavioral finance.” *Security Analysis* invites the reader to wonder what facet of investing is not behavioral. The stock market, Graham saw eight decades or so before the arrival of the 2021 “meme” stocks, is a source of entertainment value as well as investment value:

Even when the underlying motive of purchase is mere speculative greed, human nature desires to conceal this unlovely impulse behind a screen of apparent logic and good sense. To adapt the aphorism of Voltaire, it may be said that if there were no such thing as common-stock analysis, it would be necessary to counterfeit it. (Chap. 27)

Anomalies of undervaluation and overvaluation—of underdoing it and overdoing it—fill these pages. It bemused Graham, but did not shock him, that so many businesses could be valued in the stock market for less than their net current assets, even during the late 1920s boom, or that, in the dislocations to the bond market immediately following World War I, investors could become disoriented enough to